MINIMIZING YOUR TAX OBLIGATION

While paying taxes is unavoidable, if you can pay less in taxes, then you can save even more and have more money to put toward your financial and life goals. One way to minimize your tax obligations, mentioned already in this book, is to take advantage of tax-deferred accounts. By contributing to and maxing out your tax-deferred accounts like the 401(k), 457(b), 403(b), or traditional IRAs, you can reduce the total amount of taxes you pay over the course of your life.

To illustrate, let's say you are single and earn $86,000 a year living in New York City. Based on your income, and according to the 2020 IRS tax rates (see table), your tax rate will be distributed across multiple tax brackets (which is essentially the tax rate you pay on each portion of your income). On an $86,000 salary your tax rate would be as follows: you'd pay 10% on the first $9,875, 12% on the amount between $9,876 and $40,125, 22% on the amount between $40,126 to $85,525, and 24% on the remaining $474. This progressive tax system in the United States means that the more you earn, the higher your taxes will be.